# The Directors of Umeme Limited are pleased to announce the audited financial results of the Company, for the year ended 31 December 2015

UMEME
Powering Uganda

## Operational Performance

### Safety

The Company is pleased to report that there were no network-related fatalities during the year. We continued to invest in the distribution network and safety campaigns in communities across the country, which has resulted in reduced illegal activity-related incidents.

### Capital Investments

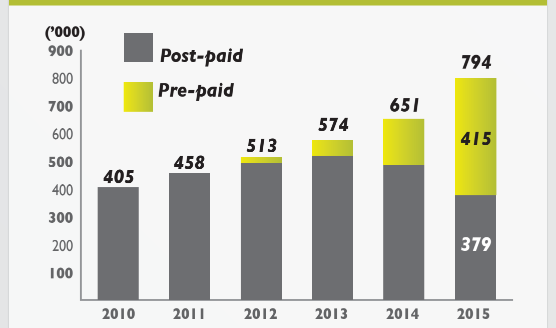
The Company continued to implement its medium term investment strategy, with Ushs 281 billion (US$ 87m) invested during the year in network expansion and restoration, technical and commercial losses reduction, new connections and rollout of prepaid and automated meter reading technology. The total network investment since the start of the concession is US$ 407 million.

Capital projects included construction of the 40MVA Namugongo substation and the upgrade of Bombo, Lira, Ntinda, Mukono and Jinja Industrial substations which has significantly improved the quality of the electricity supply in these areas.

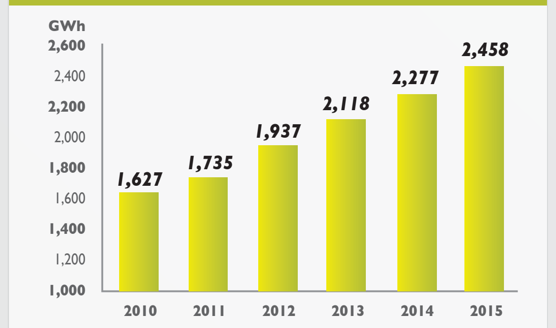
### Key operational results for the year incude;

- Customer numbers increased 22.0% to 793,544 in the year, marking the highest connection rate in our history. Out of the additional 142,971 customers, over 70,000 connections are attributed to the Output Based Aid (OBA) project, funded by the Government of Uganda in partnership with the World Bank and KFW.
- Prepaid customers increased to 52.2% of the total customer base as at 31 December 2015 compared to 25.5% as at 31 December 2014. The Company converted 87,354 customers to prepaid metering during the year.
- Energy losses for the year averaged 19.5% compared to 21.3% in 2014.
- Revenue collection for the period was 98.2% compared to 99.1% in 2014.

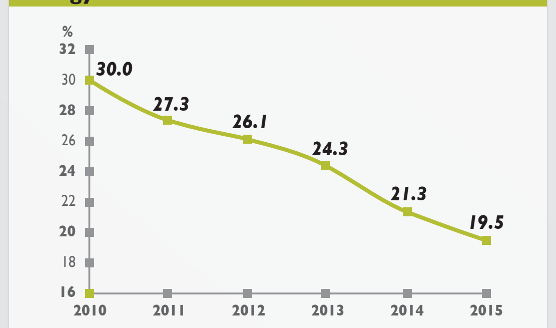
**Customer Growth: +22%**



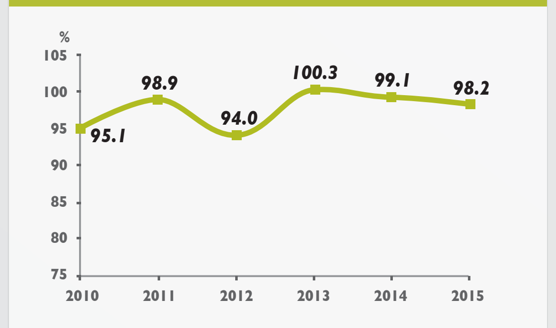

**Sales Growth: +8%**




**Energy Losses: 19.5%**




**Revenue Collections: 98.2 %**

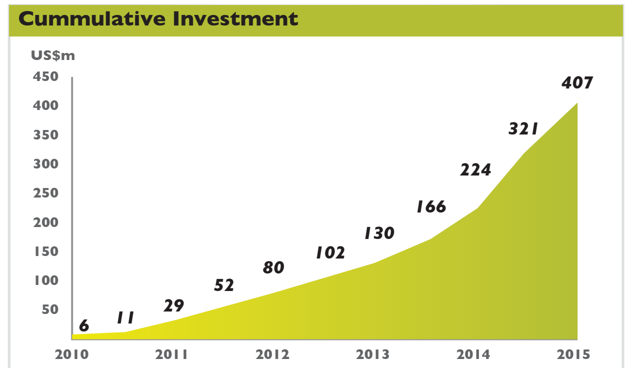



## Functional Currency

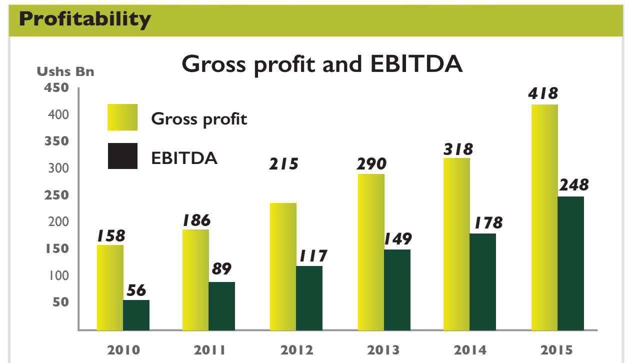
Effective 1 Jan 2015, the Board of Directors approved the change in the Company's functional currency from Uganda Shillings (Ushs) to US Dollars (US$), in accordance with International Financial Reporting Standards, to more accurately reflect the economics of the business and electricity sector in the Company's reporting. Whilst the Company collects its revenues in local currency, the contractual Return on Investment is US$ denominated while non-salary expenses and financing costs are largely US$ denominated. Notwithstanding this change in functional currency, the Company will continue to present its financial results to the market in Ugandan Shillings.

For purposes of the financial performance highlights below, the 2015 financial results are compared with the conformed unaudited financial results for the year ended 31 December 2014.

**Cummulative Investment**




**Profitability**




## Financial Performance

Revenue increased 18.8% to Ushs 1.2 trillion supported by an 8% increase in units sold (GWh) coupled with regulatory adjustments in the end user tariff through the Quarterly Tariff Adjustment mechanism during the period. Cost of sales increased 12.7% mainly driven by the 5.5% increase in electricity purchases (GWh).

Gross profit grew by 31.3% to Ushs 418.0 billion from Ushs 318.5 billion in 2014. The improvement in profitability is attributed to additional capital investments in the distribution network and growth in sales units.

Earnings before Interest, Tax, Depreciation and Amortization (EBITDA) increased 39.3% to Ushs 247.5 billion during the 12 month period.

Net profit for the 12 months period increased by 10.3% to Ushs 105.9 billion compared to Ushs 96.0 billion in the previous year.

## Cash flows

Net cash generated from operating activities during the year was Ushs 176.6 billion compared to Ushs 120.9 billion in the year ended 31 December 2014.

The Company drew down US$ 45 million dollars from the US$ 170m term facility with International Finance Corporation, Stanbic Bank Uganda Limited and Standard Chartered Bank ("the Capex Credit Facilities") to fund its capital investment projects for the period.

These borrowings have been invested in capital expenditures to expand and improve the distribution network. There remains a further US$ 25m in undrawn funds under the facility and it is available for investment.

## Regulatory Environment

In 2013 the Electricity Regulatory Authority (ERA) implemented Amendments 2 & 4 to the Supply License. As a consequence, for the 12 month period to 31 December 2015, accrued revenue in accordance with IAS 18 was Ushs 27.9 billion (US$ 8.6m), bringing the total to date to Ushs 69.6 billion (US$ 20.6m) since 2012. The Company has recognized this revenue and intends to utilise the contractual remedies available to it under the concession agreements, as discussed in Note 3 to the accounts in the Annual Report 2014 p68, in compensating the Company for any unrecovered costs incurred as a result of the amendments.

In this connection, it will be noted that the Escrow Account remains unfunded. The Company is in consultation with the Ministry of Finance, Planning and Economic Development on ways of funding the account. Umeme's regulator, ERA, elected to defer recognition of approx. US$ 7 million in capital costs incurred by the Company in 2014 for the purpose of calculating Umeme's return on net invested capital in setting the Retail Tariff for the 2015 tariff year, pending final verification of these invested amounts. The Company expects that ERA will continue with the verification exercise in relation to these capital investments, and that once verified, these amounts will be included in the return on invested capital portion of the retail tariff for future tariff periods.

As part of the financing arrangements for the 183 MW Isimba hydropower project ("Isimba HEPP") and the 600MW Karuma hydropower project ("Karuma HEPP" ) the Company entered into two supplemental Power Sales Agreements with Uganda Electricity Transmission Company Limited (UETCL) and Uganda Electricity Distribution Company Limited ("Isimba PSA" and "Karuma PSA"), pursuant to which power generated from the two hydropower plants is to be made available to the Company as part of the overall pool of electricity supplied by UETCL under the existing Power Sales Agreement between the Company and UETCL dated 17 May 2004 (the "Umeme PSA"). The "Isimba" PSA was executed on 12 June 2015 whilst the "Karuma" PSA was executed on 17 November 2015. Accordingly, the Company's purchase of electricity under the Isimba PSA and the Karuma PSA forms part of its global purchase of electricity from UETCL and is consistent with the Company's existing rights and obligations in relation to the purchase of such electricity from UETCL, as set out in the Umeme PSA.

## Outlook

The Company continues to implement its investment programme to improve the customer experience and grow the electricity distribution sector in line with Government of Uganda priorities. Upon completion, the additional power from the Karuma and Isimba Hydro projects coupled with our investments in the network will support increased access to electricity in the country.

The Directors take this opportunity to thank our customers, Government of Uganda, staff, shareholders and other stakeholders for their support of Umeme and the Uganda electricity sector.

On behalf of the Board

***Chairman***
21 March 2016

# Extract of audited results for the year ended 31 December 2015

The Directors are pleased to present the audited financial results of the Company for the year ended 31 December 2015. For the purpose of comparison, the 2014 conformed and unaudited financial statements have been included on the basis of the US Dollar functional currency for the period.

## INCOME STATEMENT

| | 2015 Ushs million Audited | 2014 Ushs million Audited | 2014 Ushs million Conformed (Unaudited) |
|---|---|---|---|
| Revenue | 1,161,008 | 977,664 | 977,664 |
| Cost of sales | (742,967) | (659,196) | (659,196) |
| **GROSS PROFIT** | **418,041** | **318,468** | **318,468** |
| Other operating income | 9,064 | 11,117 | 11,117 |
| Finance income | 23,404 | 17,563 | 17,563 |
| | 450,509 | 347,148 | 347,148 |
| Repair and maintenance expenses | (18,581) | (22,054) | (22,054) |
| Administration expenses | (155,113) | (129,227) | (129,227) |
| Foreign exchange losses | (8,424) | (28,907) | (3,668) |
| Other expenses | (6,758) | (1,479) | (1,479) |
| **OPERATING PROFIT BEFORE AMORTISATION** | **261,633** | **165,481** | **190,720** |
| Amortisation of intangible assets | (47,588) | (41,371) | (41,103) |
| **OPERATING PROFIT** | **214,045** | **124,110** | **149,617** |
| Finance costs | (53,063) | (22,436) | (22,436) |
| **PROFIT BEFORE TAX** | **160,982** | **101,674** | **127,181** |
| Income tax expense | (55,125) | (31,181) | (31,181) |
| **PROFIT FOR THE YEAR** | **105,857** | **70,493** | **96,000** |
| | **2,015 Ushs** | **2,014 Ushs** | **2,014 Ushs** |
| **BASIC AND DILUTED EARNINGS PER SHARE** | 65 | 43 | 59 |
| | **2015 Ushs million** | **2014 Ushs million** | **2014 Ushs million** |
| **Profit for the year** | **105,857** | **70,493** | **96,000** |
| **Other comprehensive income** | | | |
| *Other comprehensive income to be reclassified to profit or loss in subsequent periods, net of tax* | | | |
| Exchange differences on translation from functional currency | 133,410 | - | 22,013 |
| **Total comprehensive income for the year, net of tax** | **239,267** | **70,493** | **118,013** |

## STATEMENT OF FINANCIAL POSITION

| | 2015 Ushs million Audited | 2014 Ushs million Audited | 2014 Ushs million Conformed (Unaudited) |
|---|---|---|---|
| **ASSETS** | | | |
| **Non-current assets** | | | |
| Intangible assets | 1,044,595 | 618,976 | 665,474 |
| Concession Financial asset: Non-current portion | 313,960 | 107,489 | 107,489 |
| | 1,358,555 | 726,465 | 772,963 |
| **Current assets** | | | |
| Concession financial asset: Current portion | - | 131,650 | 131,650 |
| Inventories | 43,398 | 37,250 | 37,250 |
| Amount recoverable from customer capital contributions | 6,634 | 3,488 | 3,488 |
| Trade and other receivables | 337,768 | 283,712 | 283,712 |
| Bank balances | 28,514 | 29,374 | 29,374 |
| | 416,314 | 485,474 | 485,474 |
| **TOTAL ASSETS** | **1,774,869** | **1,211,939** | **1,258,437** |
| **EQUITY AND LIABILITIES** | | | |
| **Equity** | | | |
| Issued capital | 27,748 | 27,748 | 27,748 |
| Share premium | 70,292 | 70,292 | 70,292 |
| Translation reserve | | - | 22,013 |
| Retained earnings | 405,735 | 215,672 | 241,179 |
| | 503,775 | 313,712 | 361,232 |
| **Non-current liabilities** | | | |
| Borrowings: Non-current portion | 477,160 | 265,484 | 264,462 |
| Concession obligation: Non-current portion | 313,960 | 107,489 | 107,489 |
| Deferred income tax liability | 69,448 | 50,356 | 50,356 |
| Provision: Non-current portion | - | 5,431 | 5,431 |
| | 860,568 | 428,760 | 427,738 |
| **Current liabilities** | | | |
| Borrowings: Current portion | 1,237 | 41 | 41 |
| Concession obligation: Current portion | - | 131,650 | 131,650 |
| Customer security deposits | 998 | 3,576 | 3,576 |
| Deferred income | 12,437 | 16,701 | 16,701 |
| Provisions: Current portion | 14,490 | - | - |
| Trade and other payables | 344,832 | 286,134 | 286,134 |
| Current income tax payable | 5,250 | 2,992 | 2,992 |
| Bank overdraft | 31,282 | 28,373 | 28,373 |
| | 410,526 | 469,467 | 469,467 |
| **TOTAL EQUITY AND LIABILITIES** | **1,774,869** | **1,211,939** | **1,258,437** |

## STATEMENT OF CASHFLOWS

| | 2015 Ushs million Audited | 2014 Ushs million Audited | 2014 Ushs million Conformed (Unaudited) |
|---|---|---|---|
| **Net cash flows from operating activities** | **176,576** | **143,205** | **120,918** |
| **Investing activities** | | | |
| Purchase of intangible assets | (280,528) | (268,837) | (261,887) |
| Proceeds from sale of assets | | | 52 |
| **Net cash flows used in investing activities** | **(280,528)** | **(268,837)** | **(261,835)** |
| **Financing activities** | | | |
| Net proceeds from borrow ings | 151,965 | 152,870 | 166,680 |
| Dividends paid | (49,204) | (42,546) | (42,546) |
| **Net cash flows from financing activities** | **102,761** | **110,324** | **124,134** |
| **Net decrease in cash and cash equivalents** | (1,191) | (15,308) | (16,783) |
| Cash and cash equivalents at 1 January | (2,575) | 14,208 | 14,208 |
| Foreign exchange (Loss)/ gain | - | (1,475) | |
| **Cash and cash equivalents at 31 December** | **(3,766)** | **(2,575)** | **(2,575)** |

## STATEMENT OF CHANGES IN EQUITY

| | Issued capital Ushs million | Share premium Ushs million | Retained earnings Ushs million | Total Equity Ushs million |
|---|---|---|---|---|
| At 1 January 2014 | 27,748 | 70,292 | 187,725 | 285,765 |
| Profit for the year | - | - | 70,493 | 70,493 |
| Other comprehensive income, net of tax | - | - | - | |
| **Total comprehensive income, net of tax** | **-** | **-** | **70,493** | **70,493** |
| Translation differences | | | | |
| Dividend paid | - | - | (42,546) | (42,546) |
| **At 31 December 2014** | **27,748** | **70,292** | **215,672** | **313,712** |
| At 1 January 2015 | **27,748** | **70,292** | **215,672** | **313,712** |
| Profit for the year | - | - | 105,857 | 105,857 |
| Other comprehensive income, net of tax | - | - | 133,410 | 133,410 |
| **Total comprehensive income, net of tax** | **-** | **-** | **239,267** | **239,267** |
| Dividend paid | - | - | (49,204) | (49,204) |
| **At 31 December 2015** | **27,748** | **70,292** | **405,735** | **503,775** |

## Dividend

The directors recommend that a final dividend of Ushs 24.4 per share be paid for the year ended 31 December 2015 (2014: Ushs 19.5). An interim dividend of Ushs 10.8 per share was approved by the directors and paid in December 2015 (2014: Ushs 9.4 per share). The total dividend for the year will be Ushs. 35.2 per share. If approved by the members at the Annual General Meeting, the final dividend subject to deduction of withholding tax, where applicable, will be paid on or about 30 June 2016 to shareholders registered in the books of the Company at close of business 15 June 2016. The dividend will be paid into the shareholder bank accounts or mobile money accounts whose details are maintained by the Securities Central Depository (SCD).

## Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by KPMG, who issued an unqualified audit opinion. The financial statements were approved by the Board of Directors on 17 March 2016, and were signed on its behalf by:

**Chairman** **Managing Director**